TELLICO VILLAGE POA

OBJECTIVE OBSERVER REPORT

Town Hall (August 17, 2026) & Board Meeting (August 19, 2026)

EXECUTIVE SUMMARY

The August 2026 meetings were the shortest and most operationally routine of the new board's tenure — a welcome contrast to the governance-heavy sessions of June and July. The board meeting lasted approximately 90 minutes and produced three unanimous capital votes on straightforward items: a $42,283 food and beverage infrastructure upgrade at Toqua, a $55,781 leaf vacuum for golf maintenance, and a $11,798 HVAC replacement for Chota Room C, all from general reserves. The town hall featured an extended and substantive introduction of newly elected Loudon County Commissioners Rick Dramm (District 7) and Bob Gross (District 1, Seat B), who discussed recycling centers, Asian carp, data centers, redistricting, flock cameras, and the contested school bond — providing the community with its most direct county government engagement in recent memory. Claude Thorn confirmed that WSIAF refunds will begin processing the week of August 24, with credits applied to active accounts in neighborhood-by-neighborhood sequence and checks mailed to former residents. The Tanasi Waterfront Dining restaurant opens this week with reservation-only service for the first two weeks. The main pump station cutover is tentatively scheduled for September 15. Financial results through July remain exceptionally strong: reserve contributions are 133% ahead of budget, wages and benefits are $1.25 million below plan, and subsidies are 71% better than budget. However, several tracked governance concerns received no update — including the Troon contract cost, the cease-and-desist letters, the FAC chair vacancy, the memorial/marker policy, and the residential tank replacement program — and the Highway Advisory Committee was confirmed dissolved without a formal board vote or public explanation.

GENUINE POSITIVES

- **The Loudon County Commissioner introductions were the most substantive government engagement this series has documented.** Rick Dramm and Bob Gross each spoke at length about specific, actionable initiatives — recycling center advocacy, Asian carp symposium planning, Bat Creek vagrancy remediation (with photographic evidence and confirmed law enforcement action), flock camera constitutional concerns, opioid abatement fund oversight, and the school bond cost analysis. Both commissioners committed to attending commission meetings and inviting Tellico Village

participation. Dramm's mayoral proclamation honoring the TV Litter Angels demonstrates immediate constituent service. [Town Hall ~9:06–56:57]

- **The WSIAF refund implementation is now operational with a defined schedule.** Claude Thorn presented the neighborhood-by-neighborhood processing order (44 neighborhoods), confirmed that active accounts receive credits (not checks), that outstanding balances are offset before refund, that former residents receive checks, and that processing begins August 24. Judy Bedford confirmed "one run a week" starting Monday, August 24. The plan addresses the structural gaps identified in the June and July reports. [Town Hall ~57:09–1:03:15]
- **Christine Martinez's Toqua beer storage capital request was well-researched and professionally presented.** The three-part solution (outdoor walk-in freezer, keg cooler conversion, 12-line glycol draft system) addresses documented operational problems — floor damage from keg dragging, excessive foam and waste from an ad hoc draft system, and storage capacity limits driven by breakfast service growth. Three quotes were obtained, and the glycol system came in $7,000 below industry standard through negotiation. The total request of $42,283 is modest relative to the revenue growth it supports. [Board Meeting ~16:15–47:04]
- **Joel Reed's questioning of the capital request was rigorous and constructive.** His insistence on internal rate of return calculations, inventory management analysis, space optimization evaluation, and offset identification — while occasionally uncomfortable for the presenter — exemplifies the kind of financial scrutiny the community should expect from its board treasurer. His acknowledgment that the capital request form itself may need updating ("the form maybe is a little archaic") showed willingness to improve the process rather than just enforce it. [Board Meeting ~31:52–46:38]
- **The main pump station cutover is on schedule for September 15.** Matt Benoit's description of the process — drawing lake water into the new wet well, testing pumps, then the "ship burning exercise" of pulling the final valve — was technically informative and appropriately candid about risks. His distinction between "substantial completion" (December, per construction contract) and "cutover" (September 15, per grant timeline) clarified a long-standing community confusion. [Town Hall ~1:22:42–1:24:12]
- **The Toqua pump station emergency response demonstrated operational competence.** Two pumps went down within three days; the team deployed a bypass pump, refurbished a spare, cleared a clog, and restored dual-pump operation within hours. Benoit's frank assessment — "this is part of operating a water and sewer system. You don't love it, but this happens" — was appropriately measured. [Town Hall ~1:20:46–1:26:28]
- **Golf cart fleet transition logistics show genuine cost savings.** EZ-GO agreed to return the Club Car fleet to Augusta on their empty delivery trucks, eliminating a $62,000 shipping bill. Delivery dates are confirmed: Tanasi August 23, Toqua August 25, Kahite August 27, with course closures coordinated to minimize golfer impact. [Town Hall ~1:03:24–1:05:01]

- **The balanced scorecard continues to produce actionable data with methodological improvements.** Golf survey responses jumped from 38 to 367 in one month by switching from QR codes to email distribution through the Chelsea system. The team is now pursuing the same approach for food and beverage (via Toast loyalty program emails) and parks and recreation (via class check-in software). The once-monthly cadence addresses Carey Brown's well-timed question about survey saturation. [Board Meeting ~50:56–1:31:06]
- **The Fesco preventive maintenance contract demonstrates quantifiable efficiency gains.** Through July, the POA spent $31,000 on restaurant equipment repairs without a PM contract; the annual PM contract costs $24,000 and covers those repairs. Starting August 1, this represents approximately $14,000 in annualized savings — a concrete example of the kind of operational improvement the balanced scorecard is designed to capture. [Board Meeting ~1:21:21–1:22:08]
- **Wells McClure's leaf vacuum request was straightforward, competitive, and under budget.** Two bids obtained, $55,781 versus $57,000 budget. The 25-year-old unit being replaced and the documented increase in leaf load from 1,500 new homes since 2020 provide clear justification. Golf maintenance capital is coming in approximately $80,000 under total annual budget. [Board Meeting ~1:33:56–1:39:42]
- **The meeting was efficiently run.** The board meeting lasted approximately 90 minutes — a marked contrast to recent three-hour sessions. Both votes were unanimous (5-0, with two members absent). No contentious motions, no open forum confrontations, and no procedural irregularities.

CONCERN 1: HIGHWAY ADVISORY COMMITTEE — DISSOLVED WITHOUT BOARD VOTE OR FORMAL EXPLANATION

1a. The Disclosure

An online question from Scott Reich asked for a status update on the Highway Advisory Committee. Board member Carey Brown responded:

> *“A few months back I told them point blank they were not in line with their charter. The chairman at the time resigned after he referred to me in very derogatory terms. And in my conversation with the committee, I said, 'Yes, you are not in compliance. You have no right to go to TDOT and negotiate and go to their meetings because you've not been given that authority.' The next meeting they were not there and my recommendation is that at that point in time was that committee to be dissolved." [Board Meeting ~48:37–49:29]”*

Lackey added: "In that space we haven't taken any action on it but we haven't replaced anybody at that committee at this time." [Board Meeting ~49:37]

1b. Assessment

This confirms what prior reports tracked as an open item: the Highway Advisory Committee has been functionally eliminated. However, no formal board vote to dissolve or suspend the committee has occurred. Under Article VI, Section 2 of the bylaws, "The Board of Directors may appoint, abolish, merge or split other committees as it deems desirable." The authority to abolish exists, but it requires board action — not a single board member's recommendation followed by committee attrition.

The committee's charter authorized it to address road maintenance, pavement preservation, and coordination with TDOT on issues directly affecting Tellico Village residents — including the roundabout proposal at the 444/72 junction that Rick Dramm discussed at length during the town hall. With the committee dissolved, no advisory body is formally responsible for these issues.

This is the second advisory committee (after the Communications Advisory Committee in December 2025) to be eliminated without a formal board vote, public explanation, or documented transition of its functions to another body.

CONCERN 2: MULTIPLE TRACKED ITEMS RECEIVED NO UPDATE — NINTH CONSECUTIVE MONTH FOR SOME

The August meetings were operationally focused and did not address several significant governance items that have been tracked across multiple monthly reports. While not every item requires monthly discussion, the accumulation of deferred items warrants documentation:

- **Troon/IEL contract cost:** Lackey disclosed a range of $400,000–$600,000 in June. No further update or precise figure has been provided. The "30% savings" claim from May 7 remains unverifiable.
- **Cease-and-desist letters to property owners:** No board vote confirmed, no policy identified, no response to Terry Chvisuk's or Scott Brown's questions from July. A resident responded in writing to the POA's attorney requesting specific evidence of the claims but received no response. This item has now gone unaddressed for two consecutive months after pointed community challenge.
- **FAC Chair vacancy:** Doug Sloan resigned in June. No replacement has been announced. Don Bryan is now FAC Chair — this resolves the vacancy but was not announced at these meetings.
- **Memorial/marker policy:** Acknowledged as needed in July; no policy developed or presented.
- **Residential tank replacement program:** C2RL recommended replacing all 750- and 1,000-gallon tanks over 10 years in July. No cost estimate, funding determination, or timeline has been presented.

- **Reserve study errors:** Acknowledged in April; no formal community communication about scope or impact.
- **RFI/selection criteria disclosure:** David Taylor's March commitment to share selection rationale remains unmet.
- **Pre-meeting invocation practice:** No update on whether it has been moved to after the gavel or included in recording.
- **TVN broadcast cancellation policy:** No written policy developed despite June commitment.

CONCERN 3: BOARD MEETING QUORUM AND ABSENT MEMBERS — PATTERN WORTH NOTING

The board meeting was conducted with five members present, producing two 5-0 votes. Two board members were absent — neither identified by name in the transcript. Per the bylaws (Article IV, Section 9), "a majority of the Directors shall constitute a quorum," meaning four of seven. Five members constitute a valid quorum.

However, this is worth noting in context: the July report documented that Carla Johnson was cut off during adjournment ("Bye Carla"), and the June meetings featured 4-2 votes on the most consequential financial decisions of the year. With only five members present in August and no contentious items on the agenda, the practical impact was minimal. But the community should be aware that a two-member absence reduces the board's deliberative capacity and eliminates the minority voice that has provided important checks throughout 2026.

The absent members appear to include both Ed Grollemond and Carla Johnson based on the absence of their voices from the transcript — the two non-Tellico Smart board members whose terms expire at the end of 2026. If this pattern continues through the fall budget and election season, decisions will be made without the board's primary dissenting voices.

CONCERN 4: CAPITAL REQUEST PROCESS — IMPROVING BUT STILL LACKS STANDARDIZED ROI FRAMEWORK

4a. Joel Reed Identified the Gap

Reed's questioning of Christine Martinez's capital request highlighted a systemic issue: the capital request form does not require quantitative return-on-investment analysis. Reed stated:

> *“The ROI is so important... We should be doing the math and showing this is the payback for making these upgrades. That really helps us in our job to not ask you tough questions like this or put you under the spotlight. We need to do more of this stuff up front." [Board Meeting ~33:38–34:06]”*

4b. Tom McPhee's Reframe Was Substantively Correct

Resident Tom McPhee (speaking from the audience during what should have been a closed comment period — Lackey corrected the process but allowed the comment) offered a useful analytical alternative: gross margin analysis rather than IRR for revenue-supporting investments. His point that Toqua has increased sales by $150,000 year-to-date provides context the form did not capture. [Board Meeting ~44:34–46:00]

4c. Assessment

The capital request form dates from 2018 and requires an "internal rate of return" calculation that is ill-suited to many operational investments (freezers, draft systems, leaf vacuums). Reed acknowledged this: "The form maybe is a little archaic... IRR may not be the right thing to look at." CFO Bedford noted that presenters can "attach a cover memo" with additional justification. [Board Meeting ~46:24–46:45]

This is a process improvement opportunity, not a crisis. The board should direct staff and the IEL to update the capital request form to include appropriate ROI methodologies (payback period, cost avoidance, gross margin contribution) alongside or instead of IRR, depending on the nature of the investment. This would reduce the in-meeting friction that occurred with Martinez's presentation while improving the quality of information available to the board.

CONCERN 5: ODOR CONTROL ACCELERATION — PROMISING BUT TIMELINE UNDEFINED

Lackey disclosed that he has asked Claude Thorn to coordinate with Matt Benoit and Casmir Associates (the odor control vendor for Kahite) to accelerate odor control installations at Toqua and Mialaquo:

> *"I encouraged him to reach out to public works and Casmir Associates... and see if they can get on board with us and get that going early." [Town Hall ~1:18:00–1:18:24]"*

Lackey also confirmed TDEC approval for the Kahite station design: "TDec goes, 'Why are you even calling us? Send us the drawings. We don't have a problem with it.'" [Town Hall ~1:19:34–1:19:43]

This is positive direction-setting, but no timeline, cost estimate, or formal capital request has been presented. Linda Garza's question about the long-term vision for Toqua — "where is the long-term vision versus just continuing to put a band-aid on Toqua?" — received Benoit's candid acknowledgment that "we have four pump stations that need a lot of work" and that packaging them "is a story for another day" pending budget and cash flow analysis. [Town Hall ~1:24:39–1:26:28]

The community should expect a formal proposal for Toqua and Mialaquo odor control at the September or October meetings, with cost estimates and a timeline.

CROSS-REFERENCE: STATUS OF OPEN ITEMS FROM PRIOR REPORTS

- **FAC Chair vacancy:** Don Bryan is now FAC Chair. **(RESOLVED)**
- **$2M federal grant:** Board confirmed the grant is being actively pursued per prior reports. Bedford has submitted close to $3 million in claims. **(SUBSTANTIALLY RESOLVED)**
- **Kahite lift station engineering:** C2RL engineering contract approved 7-0 in July, though PSAC and FAC were again bypassed. TDEC confirmed approval of the approach this month. **(RESOLVED IN SUBSTANCE)**
- **Water/sewer rate study:** Lackey confirmed engagement with ratestudies.com and TAUD in July. He also disclosed the possible inapplicability of GASB. **(PARTIALLY RESOLVED — no further update this month)**
- **WSIAF refund process:** Thorn presented a comprehensive plan; processing begins August 24; Board confirmed funding source. **(RESOLVED)**
- **TBOUR jurisdictional transfer:** Loudon County approved the petition. Monroe County meeting scheduled for end of August. TPUC lawsuit dismissal expected. **(PROGRESSING — new update this month)**
- **Troon/IEL contract cost:** Lackey disclosed a range of $400,000 to $600,000 in June. **(NO UPDATE)**
- **Standard process for committee appointments:** Assigned to nominating committee January 2026. **(NO UPDATE)**
- **Parks & Rec unauthorized use:** No cost recovery plan presented. **(NO UPDATE)**
- **Reserve study errors:** No formal community communication. **(NO UPDATE)**
- **Communications Advisory Committee:** Eliminated months ago with no explanation, vote, or follow-up. **(NO UPDATE)**
- **Highway Advisory Committee:** Now confirmed dissolved by attrition following board liaison's directive — without formal board vote. **(NEWLY CONFIRMED — see Concern 1)**
- **RFI/selection criteria disclosure:** Taylor's March commitment to share selection rationale remains unmet. **(NO UPDATE)**
- **Director of Parks and Recreation vacated:** No replacement announced. **(NO UPDATE)**
- **TVN broadcast cancellation policy:** No written policy developed or presented despite commitment in June. **(NO UPDATE)**
- **Pre-meeting invocation practice: (NO UPDATE)**
- **Cease-and-desist letters sent to property owners:** A resident responded in writing to the POA's attorney requesting specific evidence. No response received to date. **(NO UPDATE)**
- **No memorial/marker policy exists: (NO UPDATE)**

- **Residential tank replacement program: (NO UPDATE)**

NEWLY IDENTIFIED ITEMS

- **Highway Advisory Committee dissolution confirmed without board vote.** Brown stated the committee is effectively dissolved; Lackey confirmed no formal action has been taken. This leaves road and TDOT coordination issues — including the 444/72 roundabout — without an advisory body. [Board Meeting ~48:37–49:37]
- **Dock lease agreement loopholes under review.** Larry Godwin disclosed that the Marina Advisory Committee has identified a problem with slip transfers: owners sharing boats can transfer slips to buyers outside the waitlist (166 boats, 74 PWC waiting). Legal review is underway. [Town Hall ~1:11:25–1:12:45]
- **Smart TV/AV integration at Toqua Bar and Grill needs assessment.** Resident Fred Kendall reported that 15-20 smart TVs in the facility cannot communicate with each other or accept external presentations. Thorn committed to having IT Director Kevin Alfont evaluate. [Board Meeting ~49:46–50:43]
- **Capital request form requires modernization.** Reed and Tom McPhee both identified that the current form's IRR requirement is inappropriate for many operational investments. Bedford suggested cover memos as a workaround; a systematic form update would be more effective. [Board Meeting ~31:52–46:45]
- **Neighborhood pump station packaging for budget consideration.** Benoit acknowledged that with the main pump station nearing completion, the four neighborhood stations (Toqua, Mialaquo, Coyatee, and others) "could be packaged at this point" but that budget and cash flow implications are "a story for another day." [Town Hall ~1:25:32–1:26:08]

CONCLUSION

August 2026 was a welcome operational respite — efficient meetings, clean capital votes, strong financial results, and genuine community engagement through the county commissioner introductions. The WSIAF refund is now operational. The main pump station cutover is weeks away. The Tanasi restaurant is opening. The balanced scorecard methodology continues to improve. These are tangible accomplishments.

But the governance backlog is growing. Two advisory committees have now been eliminated without formal board votes. The cease-and-desist letters remain unaddressed despite two months of pointed community questions. The Troon contract cost has been disclosed only as a range, not a figure. The residential tank replacement program — potentially the largest per-homeowner financial impact of any initiative discussed this year — has no cost estimate, no funding determination, and no timeline. The Parks and Recreation director position remains

unfilled. The capital request form needs updating. And with two board members apparently absent from August's meeting, the community should pay attention to whether the full board is engaged through the fall budget and election cycle.

The relative calm of August should not be mistaken for the resolution of the governance concerns documented across this series. A board that runs efficient meetings on easy agenda items has not yet demonstrated it can apply the same discipline to the harder questions it has been deferring.

Community members should watch for the following at the September meetings:

- Whether the main pump station cutover occurs on or near September 15, and whether the transition proceeds without service disruption.
- Whether the Tanasi Waterfront Dining opening meets quality standards during and after the reservation-only period.
- Whether a formal capital request for Toqua and Mialaquo odor control is presented with cost estimates and timeline.
- Whether Monroe County approves the TBOUR petition and whether the TPUC lawsuit dismissal is filed.
- Whether the board formally votes to dissolve or reconstitute the Highway Advisory Committee, rather than leaving it in administrative limbo.
- Whether the cease-and-desist letter questions receive any substantive board response.
- Whether the residential tank replacement program produces a cost estimate and funding framework.
- Whether the Troon contract cost is disclosed as a specific figure rather than a range.
- Whether the dock lease agreement revisions are presented to the board with legal review complete.
- Whether the capital request form is updated to include appropriate ROI methodologies beyond IRR.
- Whether WSIAF refund processing proceeds on schedule, with the first credits visible on September billing statements.

This report covers the August 17, 2026 Town Hall and August 19, 2026 Board Meeting. Previous reports in this series cover December 2025 through July 2026.